ally takes at least three to five years and millions of dollars' worth of investment. It is good to know that the authorities of the country have requested expression of interest for setting up such fabs in the country, but it has been more than nine months since work on that front has also stalled due to reasons only known to the government of India.

As a matter of fact, Israel based Tower Semiconductor had recently written to Prime Minister Narendra Modi, requesting intervention on fast tracking their EOI (expression of interest). The company had expressed concerns over the delay in the project and said that it might be unable to stay active for the semiconductor project in India. On the better side, ISEA has noted that more than 20 countries had shown interest in setting up a semiconductor fab in the country. Specifically mentioning that review will be done when a fab in India is operational is a commitment to allow 100% imports for several years due to uncertainties of fab.

The progress of any country depends upon its local manufacturing power. That is why the likes of China, the USA, South Korea, Finland, Sweden, Japan, France, etc are way ahead of other nations as their imports are way less than the exports due to their local manufacturing capacity.

These countries have progressed due to support by their governments to the local companies. That is why these countries are large net exporters of electronic goods and components.

Assembly or manufacturing

While there is no rocket science in understanding the fact that every nation imports electronic components for fulfilling its needs, it takes a little brain exercise to gauge that despite these imports such countries manage to stay on top of the table because their export revenue is much bigger than their import. Besides, a lot of the government agencies working in such countries make it mandatory to procure goods from local companies for establishing public projects.

For instance, China imported electrical equipment and machinery worth US$548.7 billion in 2020. It exported electronic equipment worth US$710.12 billion during the same year. India, in FY 2020, imported electronic products valued at over ₹3.7 trillion. These included telecom instruments, electronics components, consumer electronics, and a lot of other things. The country, in the same year, exported electronics goods worth over ₹829 billion only.

> **THIS POLICY IS COMPLETELY AGAINST DOMESTIC INDUSTRY, ANTI-ATMANIRBHAR BHARAT, AND AGAINST THE WELL-KNOWN POLICIES OF PRIME MINISTER MODI. SO TEMA REQUESTS THAT DoT SHOULD TAKE NOTE OF THIS AND RECALL IT IMMEDIATELY.**

The difference between the exports and import figures of the two countries is mainly due to the local value addition factor. In simple words, countries like China are doing much more than mere assembly of products.

Now, the new amendment to the policy states that if printed circuit board assembly (PCBA) and testing of imported/domestically manufactured parts and components using surface mount technology (SMT) process is done in India, then imported/domestically manufactured parts and components will be qualified for the purpose of Local Content. If the basic components of the assembly are 100% imported but assembled here locally, then by virtue of the above clause it would be considered as locally manufactured product duly qualified for PPP-MII.

Notifications like these will surely suppress the zeal and motivation of local companies to put in efforts to add more value than mere assembly and packaging. TEMA is of the view that the new amendment will lead to India's domestic add (local value add) reducing to zero. And India will be seen as a country for low-cost assembling where the assembling cost is paid by the government through different PLI schemes. This is despite the fact that many companies in India have the capabilities and capacities to manufacture in India with much less foreign imports.

This policy encourages CKD assembly with 100% imported components (irrespective of country of import, including China) as an Indian product qualified for all government purchases as a Class 1 Domestic Manufacturer. This is because there is no requirement or percentage prescribed for domestic components. It has done away with any need of domestic IPR, or Indian technology, or even design requirements, for which industry has fought tooth and nail for the last several years. So, now India will graduate from being an importer to CKD assembler where the assembly charges are paid by the government, if eligible for PLI.

Without naming any telecom products manufacturing company, TEMA clarifies that several of them have already confirmed that they have successfully managed to achieve over 50% domestic content. In high technology telecom products, active imported components constitute about 30% of the cost. Hence, more than 50% domestic value addition is achievable by these Indian companies.

The new amendment, as TEMA